Payroll & Employee Testing Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Payroll Register — FY2025 Export
Source File	meridian_payroll_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	PRT-2026-1023-202
Generated	23rd October 2026
Engagement Practitioner	Sarah M. Chen, CPA
Engagement Reviewer	James R. Whitfield, CPA, CIA
Report Status	Draft

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I. Scope

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Source ... Payroll Register — FY2025 Export (meridian_payroll_fy2025.csv)
Period Tested ... FY 2025 (January 1 – December 31, 2025)
Total Payroll Entries Tested ..... 520
Tests Applied ..... 11
Data Quality Score ..... 89%
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Payroll Register-to-GL Reconciliation

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Payroll Register Total (computed) ..... $1,387,450.00
GL — Salaries & Wages (Trial Balance) ... $1,420,000.00
Variance ..... -$32,550.00
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■ Unreconciled difference of $32,550.00 requires investigation. Confirm whether the variance represents payroll accruals, timing differences, or recording errors.

Headcount Roll-Forward

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Employees Active — Beginning of Period (2025-01-01) ... 112
New Hires During Period ..... + 14
Terminations During Period ..... - 8
Employees Active — End of Period (2025-12-31) ... = 118
Employees in Final Pay Period of Register ..... 117
Variance ..... 1
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Note: 1-employee variance between computed ending headcount and final pay period register count under investigation — see Ghost Employee Indicators finding.

Salary Distribution by Department

Department	Employee Count	Total Gross Pay	% of Total Payroll
Engineering	42	$498,200.00	35.9%
Operations	35	$374,400.00	27.0%
Finance	18	$221,100.00	15.9%
Marketing	15	$180,250.00	13.0%
HR	8	$96,000.00	6.9%
No Department / Unassigned	2	$17,500.00	1.3%
Total	**120**	**$1,387,450.00**	**100%**

Note: Department distribution total (120) exceeds roll-forward ending headcount (118) by 2 employee(s). This variance may reflect terminated employees not yet removed from departmental assignments, contractors included in department rosters, or data timing differences between the payroll register and HR system.

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The automated payroll testing procedures documented in this workpaper were performed on the payroll and employee compensation detail provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	89%
Column Confidence	86%
Tests Executed	11
Tests Clear	2
Items for Review	50

II. Methodology

The following automated tests were applied to the payroll register in accordance with professional auditing standards (ISA 240: Auditor's Responsibilities Relating to Fraud, ISA 500: Audit Evidence, PCAOB AS 2401: Consideration of Fraud):

Test	Tier	Description
Duplicate Employee IDs	Structural	Identifies employee IDs associated with multiple different names, indicating possible data integrity issues.
Missing Critical Fields	Structural	Flags payroll entries with blank employee names, zero gross pay, or missing pay dates.
Round Salary Amounts	Statistical	Flags round-dollar pay amounts ($100K, $50K, $25K, $10K multiples) that may indicate estimates.
Pay After Termination	Structural	Flags payments made after the employee's recorded termination date.
Check Number Gaps	Structural	Detects gaps in sequential payroll check numbering that may indicate voided or missing checks.
Unusual Pay Amounts	Statistical	Uses z-score analysis to identify statistically unusual pay amounts per department.
Pay Frequency Anomalies	Statistical	Flags employees with irregular pay spacing compared to the population cadence.
Benford's Law — Gross Pay	Statistical	Applies Benford's Law first-digit analysis to gross pay amounts.
Ghost Employee Indicators	Advanced	Flags employees with ghost employee indicators: no department, single entry, boundary-month-only payments.
Duplicate Bank Accounts	Advanced	Flags employees sharing the same bank account or similar addresses.
Duplicate Tax IDs	Advanced	Flags employees sharing the same tax identification number.

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Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Results Summary

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Composite Diagnostic Score ................. 28.3 / 100
Diagnostic Tier ..................... ELEVATED (28/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

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Total Entries Flagged ............................. 50
Overall Flag Rate ................................ 9.6%
High Severity Flags ................................ 6
Medium Severity Flags ............................. 17
Low Severity Flags ................................ 27
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Test	Flagged	Rate	Severity
Round Salary Amounts	22	4.2%	LOW
Missing Critical Fields	8	1.5%	MEDIUM
Unusual Pay Amounts	6	1.2%	MEDIUM
Check Number Gaps	5	1.0%	LOW
Pay Frequency Anomalies	3	0.6%	MEDIUM
Pay After Termination	2	0.4%	HIGH
Duplicate Bank Accounts	2	0.4%	HIGH
Duplicate Employee IDs	1	0.2%	HIGH
Ghost Employee Indicators	1	0.2%	HIGH
Benford's Law — Gross Pay	0	0.0%	LOW
Duplicate Tax IDs	0	0.0%	LOW

Benford’s Law analysis of gross pay amounts shows close conformity (MAD = 0.0042). This provides analytical support for the completeness and non-fabrication of gross pay amounts in the population. No further procedures required for this test.

IV. Key Findings

1. EMP-4421 (Robert Nguyen) — 2 payments totaling $8,400.00 after termination date (2025-11-22)

Suggested follow-up: Cross-reference the termination date per HR records to the last paycheck date. For payments after termination, obtain documentation of final pay obligations (accrued PTO, severance) that justify the payment.

2. EMP-3187 (Vacant — No Department) — Ghost employee indicators: no department, single entry, boundary month

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Suggested follow-up: Investigate ghost employee indicators by tracing to HR records. Physical verification of employee existence, if warranted, must be performed by the engagement team directly and not delegated to management.

3. EMP-2901 / EMP-5512 — Shared bank account ending in 7743

Suggested follow-up: To further substantiate the finding, verify employees sharing bank accounts or addresses for proper documentation and business justification.

4. EMP-1102 (Sarah Blake) — Duplicate employee ID mapped to different name in Q3 vs Q4

Suggested follow-up: As a priority follow-up action, verify HR records against the payroll system for each employee ID associated with multiple names. Investigate data entry errors or potential identity substitution.

V. High Severity Employee Detail

Duplicate Employee IDs — Employee Detail (1 items)

Employee ID	Names Associated	Entry Count
EMP-1102	michael torres, sarah blake	24

Obtain HR records for the affected employee ID(s). Confirm whether the name change represents a legal name change with documentation, a data entry correction, or potential identity substitution. Review all pay transactions under this ID for the full period.

Pay After Termination — Employee Detail (2 items)

Employee ID	Employee Name	Termination Date	Payment Date	Gross Pay
EMP-4421	Robert Nguyen	2025-11-22	2025-12-15	$4,200.00
EMP-4421	Robert Nguyen	2025-11-22	2025-12-31	$4,200.00

Total post-termination payments: $8,400.00

Obtain HR termination documentation for the affected employee(s). Confirm whether payments were authorized severance, a system processing lag, or unauthorized disbursements. Calculate total overpayment amount and confirm whether recovery has been initiated.

Ghost Employee Indicators — Employee Detail (1 items)

Employee ID	Name	Pay Date	Gross Pay	No Dept	Single Entry	Boundary Mo.
EMP-3187	Vacant	2025-01-15	$3,750.00	✓	✓	✓

Trace the flagged employee(s) to HR personnel file and evaluate whether the evidence on file supports a bona fide employee and a legitimate payment. Whether physical verification of employee existence is warranted is a matter of auditor judgment based on engagement risk; if the practitioner elects to perform it, it should be performed by the engagement team directly rather than delegated to management.

Duplicate Bank Accounts — Employee Detail (2 items)

Employee ID	Employee Name	Department	Bank Account (last 4)
EMP-2901	Lisa Chen	Finance	7743
EMP-5512	David Chen	Engineering	7743

Obtain bank account authorization forms for all affected employees. Confirm whether the shared account represents a legitimate family arrangement with documented authorization, or an unauthorized diversion of payroll funds. Verify all employees are on the current active headcount.

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VI. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 710-10	Compensation — General	Current
FASB	ASC 712-10	Compensation — Nonretirement Postemployment Benefits	Current

VII. Conclusion

Based on the automated payroll testing procedures applied, the payroll register returned ELEVATED flag density across the automated tests. Select flagged entries should be reviewed for proper authorization and documentation.

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Limitations

This report was prepared using Paciolus Diagnostic Intelligence and is intended to support the professional judgment of the engagement practitioner. The procedures reflected herein are analytical and diagnostic in nature and do not constitute an audit, review, compilation, or attestation engagement as defined under AICPA professional standards or PCAOB auditing standards. Findings and observations require independent corroboration before conclusions may be drawn.

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This memo documents automated payroll testing procedures with reference to ISA 240 (Fraud), ISA 500 (Audit Evidence), and PCAOB AS 2401. Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.